

Table 31.2 General Statistics

Description	Down Breakout
Number found	651
Reversal (R), continuation (C) occurrence	100% R
Average decline	−16%
Standard & Poor's 500 change	−4%
Days to ultimate low	53
How many change trend?	30%

Table 31.3 Cumulative Failure Rates

Maximum Price Decline (%)	Down Breakout
5 (breakeven)	135 or 21%
10	144 or 43%
15	99 or 58%
20	77 or 70%
25	53 or 78%
30	44 or 85%
35	43 or 91%
50	40 or 98%
75	15 or 100%
Over 75	1 or 100%

Standard & Poor's 500 change. Using the dates of the breakout to the ultimate low, we see that the S&P 500 dropped an average of 4%. Maybe that drop explains the slightly better performance for this pattern. The falling market helped drag down stocks.

Days to ultimate low. It takes about 7 weeks from the breakout to reach the ultimate low, on average. The median is half that, though, or 27 days. That may assist you in the timing of the decline for your situation.

How many change trend? This is a measure of how many patterns see price drop more than 20%. The higher the number, the better. Comparing